

would like to reframe and reverse the question: How can we protect the parent organization from the startup? In my experience, people defend themselves when they feel threatened, and no innovation can flourish if defensiveness is given free rein. In fact, this is why the common suggestion to hide the innovation team is misguided. There are examples of one-time successes using a secret skunkworks or off-site innovation team, such as the building of the original IBM PC in Boca Raton, Florida, completely separate from mainline IBM. But these examples should serve mostly as cautionary tales, because they have rarely led to sustainable innovation.² Hiding from the parent organization can have long-term negative consequences.

Consider it from the point of view of the managers who have the innovation sprung on them. They are likely to feel betrayed and more than a little paranoid. After all, if something of this magnitude could be hidden, what else is waiting in the shadows? Over time, this leads to more politics as managers are incentivized to ferret out threats to their power, influence, and careers. The fact that the innovation was a success is no justification for this dishonest behavior. From the point of view of established managers, the message is clear: if you are not on the inside, you are liable to be blindsided by this type of secret.

It is unfair to criticize these managers for their response; the criticism should be aimed at senior executives who failed to design a supportive system in which to operate and innovate. I believe this is one reason why companies such as IBM lost their leadership position in the new markets that they developed using a black box such as the PC business; they are unable to re-create and sustain the culture that led to the innovation in the first place.

Creating an Innovation Sandbox

The challenge here is to create a mechanism for empowering innovation teams out in the open. This is the path toward a sustainable culture of innovation over time as companies face